

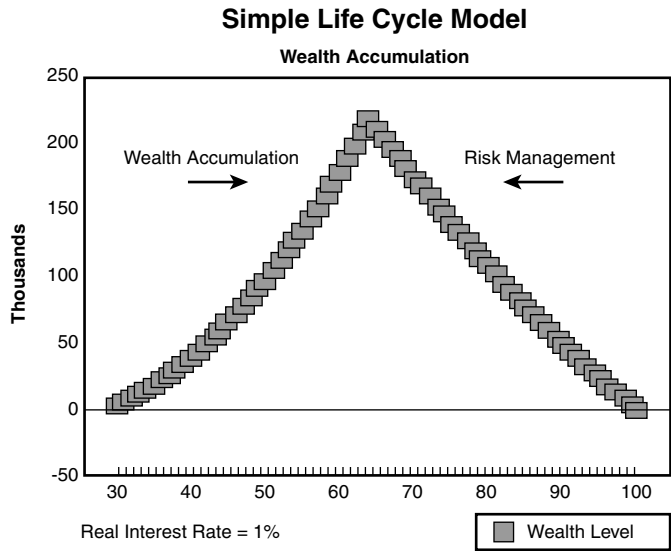


Figure 1.1 Will you be able to get down the mountain?

Source: Life cycle theory and hypothesis based on work by F. Modigliani and R. Brumberg, "Utility analysis and the consumption function: an interpretation of cross-section data," 1954.

TABLE 1.8 Median Net Worth by Age of Household Head

Group	Median (2004)	Real Change from 2001
All Families	\$93,000	+0.82%
Less than 35	\$14,200	+15.1%
35 to 44	\$69,500	-16.0%
45 to 54	\$144,600	+1.30%
55 to 64	\$248,700	+26.0%
65 to 74	\$190,200	+0.32%
Above 75	\$163,100	-2.06%

Source: U.S. Federal Reserve Consumer Finances Survey 2004, Table 3; IFID Centre calculations.

Let’s return for a minute to the early stages of the human life cycle—your late teens and early 20s.

At this age, what was previously a corporate shell becomes an operating unit, and you face the first, and perhaps most important,